

(f) What is Time value of money? Explain the various methods used in Time value of money.

4. Attempt any **Two** of the following questions: **10 x 2 = 20**

(a) There are two project available in the market suggest the firm which project is feasible.

Particulars	A	B
Cost of Project	80000	90000
Life of Project	5 years	5 years
CFAT		
1	25000	30000
2	30000	30000
3	22000	25000
4	33000	20000
5	40000	33000

Calculate IRR and suggest which project is feasible.

(b) Consider the following cost and benefits of a project.

Years	Cash flow
0	-50000
1	10000
2	12500
3	17500
4	10000
5	10000

Calculate Pay back period.

(c) Define cost of capital? How cost of debentures and equity shares are calculated.

5. Attempt any **Four** of the following questions: **5 x 4 = 20**

(a) Explain the concept of working capital.

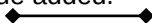
(b) What is operating cycle in working capital?

(c) What factors should be kept in mind while determining cash need?

(d) What is EOQ? Explain with the help of an example.

(e) Explain cash budget? Why an organization need cash budget.

(f) Explain Economic value added.



Roll No.

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M.B.A.**SECOND SEMESTER EXAMINATION, 2012-13****FINANCIAL MANAGEMENT**Time : **3 Hours**Total Marks : **100**

- Note :** (i) Attempt **ALL** questions.
(ii) Choices are given in each question set.
(iii) Annuity table must be allowed to students.

1. Attempt any **Two** of the following questions: **10 x 2 = 20**
 - (a) Define Relevance theory of Dividend policy.
 - (b) Differentiate between Gordon's model and MM hypothesis theory of Dividend.
 - (c) Explain the concept of E-Banking.
2. Attempt any **Two** of the following questions: **10 x 2 = 20**
 - (a) What is capital structure? Discuss the factors affecting capital structure.
 - (b) Explain the concept of EBIT-EPS analysis use an example to explain the concept.
 - (c) What is Leverage? Explain operating and financial leverage in brief.
3. Attempt any **Four** of the following questions: **5 x 4 = 20**
 - (a) Explain the factors affecting the financing decision.
 - (b) Explain the role of financial planning in FM.
 - (c) How does the modern financial manager different from the traditional financial manager.
 - (d) Define the scope of financial management.
 - (e) Discuss the function of SEBI.